

Meridian & Associates LLP

Tax Services Practice

Tax Credits & Incentives Advisory

Identification, Quantification & Compliance for Federal,
State, and International Tax Benefits

Document ID:	M&A-TAX-TCI-005
Version:	6.0
Effective Date:	January 1, 2026
Classification:	CONFIDENTIAL
Distribution:	Internal Use Only

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1. Executive Summary

Meridian & Associates' Tax Credits & Incentives (TCI) practice is a dedicated team of 180+ professionals focused on identifying, quantifying, and sustaining tax credits, deductions, exemptions, and economic development incentives for corporate clients. In FY2025, the TCI practice identified total tax savings of \$2.1 billion across our client portfolio, spanning federal R&D credits, state and local incentives, energy credits under the Inflation Reduction Act, cost segregation studies, export incentives, and economic development grants. Our approach integrates tax technical expertise with industry-specific knowledge, engineering and scientific disciplines, and data analytics to deliver defensible, audit-ready benefit computations.

This document describes the methodologies and engagement approaches for each major credit and incentive category within the TCI practice. All work products are designed to meet the documentation requirements necessary for penalty protection under IRC Section 6662 and corresponding state provisions.

2. Research & Development Tax Credit (IRC Section 41)

2.1 Four-Part Test Methodology

The federal R&D tax credit under IRC Section 41 provides a credit for qualified research expenditures (QREs) incurred in carrying out qualified research activities. Meridian's R&D credit methodology applies the four-part test established in Treasury Regulation Section 1.41-4 to each business component (product, process, technique, formula, invention, or software module) under examination:

- Section 174 Test: The research expenditures must be eligible for treatment as research or experimental expenditures under IRC Section 174 (now subject to mandatory 5-year domestic / 15-year foreign amortization for tax years beginning after December 31, 2021, per the Tax Cuts and Jobs Act amendment).
- Technological in Nature Test: The activity must rely on principles of physical or biological science, engineering, or computer science. We evaluate whether the activity involves the application of scientific principles, algorithms, or engineering analysis -- as opposed to routine testing, quality control, or market research.
- Elimination of Uncertainty Test: The research must be undertaken for the purpose of discovering information to eliminate uncertainty concerning the capability or method for developing or improving a business component, or the appropriateness of the business component's design.
- Process of Experimentation Test: Substantially all of the research activities must constitute elements of a process of experimentation -- the systematic evaluation of one or more alternatives through modeling, simulation, testing, or trial-and-error to achieve a result where the capability or method is uncertain.

2.2 Qualified Research Expense Categories

We quantify QREs in the following categories, applying detailed time-tracking analysis, project-level documentation review, and employee interviews:

- In-house wages -- wages paid to employees performing, directly supervising, or directly supporting qualified research activities. Includes salaries, bonuses, and stock-based compensation (to the extent included in W-2 wages).
- Contract research expenses -- 65% of amounts paid to third parties (or 75% for qualified research consortia) for qualified research performed on behalf of the taxpayer.
- Supply costs -- cost of tangible personal property (other than land or improvements to land) used in the conduct of qualified research, consumed or destroyed during experimentation.
- Cloud computing costs -- following the IRS's evolving guidance and recent court decisions, we analyze whether cloud infrastructure costs incurred in connection with qualified research qualify as supply costs under Section 41(b)(2)(A)(ii).

2.3 ASC 730 Documentation and Credit Computation

Our R&D credit work product includes a detailed technical memorandum documenting qualifying activities and business

components, a statistical sampling methodology (where applicable) in accordance with Rev. Proc. 2011-62 and IRS Directive LB&I-04-0117-005, and a credit computation workbook calculating the credit under both the Regular Credit (RC) and Alternative Simplified Credit (ASC) methods. We recommend the method that maximizes the current-year benefit, taking into account base period considerations and Section 280C election impacts.

3. State and Local Incentives

3.1 Job Creation Tax Credits

Many states offer income tax credits or payroll tax credits for the creation of new jobs, particularly in targeted industries or geographic zones. Meridian's state incentives team maintains a proprietary database of 1,200+ active state and local incentive programs across all 50 states, updated quarterly (see M&A-TAX-SALT-008 for the firm's comprehensive State and Local Tax methodology, including nexus analysis, apportionment planning, and state controversy practice). Common programs we evaluate include:

- State R&D credits -- over 35 states offer R&D credits (some conforming to the federal methodology, others with state-specific definitions). We prepare state-specific calculations and documentation for each applicable jurisdiction.
- Job creation/retention credits -- available in nearly every state, with credit amounts typically ranging from \$500 to \$9,000 per qualifying job created above a baseline. Key states include Georgia, Ohio, New York, Texas, and California.
- Capital investment credits -- credits for investment in real property, machinery, and equipment, often tied to a minimum investment threshold and job creation requirement.
- Training and workforce development credits -- reimbursement or credit for qualified training expenditures for new or existing employees.
- Enterprise zone / opportunity zone incentives -- enhanced credits, deductions, or exemptions for businesses located in designated zones, including federal Qualified Opportunity Zone (QOZ) benefits under IRC Section 1400Z-2.

3.2 Property Tax Abatements and TIF Districts

We negotiate property tax abatement agreements with local jurisdictions for qualifying capital investment projects. Our approach includes: economic impact analysis demonstrating the 'but for' necessity of the incentive, comparative site analysis showing alternative locations under consideration, negotiation of abatement terms (typically 50-100% abatement over 5-15 years with declining schedules), and ongoing compliance monitoring. For projects located within Tax Increment Financing (TIF) districts, we advise on the interaction between TIF benefits and other available incentives, ensuring clients capture the full stack of available programs.

4. Federal Energy Credits -- Inflation Reduction Act

4.1 Section 45 Production Tax Credit (PTC)

The Inflation Reduction Act of 2022 (IRA) extended and expanded the Section 45 production tax credit for electricity produced from qualified energy resources (wind, solar, geothermal, biomass, hydropower, marine/hydrokinetic). For facilities placed in service after December 31, 2024, the credit transitions to the technology-neutral Section 45Y clean electricity PTC. Our advisory services cover:

- Project structuring -- analysis of direct ownership, partnership flip structures, sale-leaseback arrangements, and inverted lease pass-through structures to optimize credit monetization.
- Prevailing wage and apprenticeship requirements -- compliance planning to qualify for the 5x credit multiplier (increasing the base credit from approximately \$0.55/kWh to \$2.75/kWh for 2025).
- Domestic content bonus -- analysis of the manufactured product and mining/extraction components to determine eligibility for the additional 10% credit bonus under Section 45(b)(9).
- Energy community bonus -- geographic analysis to determine whether the facility is located in a qualifying energy community

(brownfield site, statistical area with fossil fuel employment, or census tract with a retired coal facility), qualifying for an additional 10% credit bonus.

- Transferability and direct pay elections -- advising on the Section 6418 credit transfer mechanism (selling credits to unrelated third parties) and Section 6417 direct pay election (available to tax-exempt entities and certain other eligible taxpayers).

4.2 Section 48 Investment Tax Credit (ITC)

The IRA also enhanced the Section 48 investment tax credit for energy property, with a base credit rate of 6% (30% with prevailing wage and apprenticeship compliance) for solar, fuel cell, microgrid, combined heat and power, geothermal, and energy storage property. For property placed in service after 2024, the technology-neutral Section 48E credit applies. Our ITC practice addresses project cost certification, placed-in-service date analysis, recapture risk management (5-year recapture period), and interaction with other federal and state incentives.

5. Cost Segregation Studies

Cost segregation studies reclassify building components from 39-year nonresidential real property (or 27.5-year residential rental property) to shorter-lived personal property classes (5, 7, or 15-year property) eligible for accelerated depreciation and, where applicable, bonus depreciation under the TCJA phase-down schedule: 100% (2022), 80% (2023), 60% (2024), 40% (2025), 20% (2026), and 0% thereafter. For property placed in service in 2025, the applicable bonus depreciation rate is 40%. Our studies are performed by multidisciplinary teams of tax professionals and licensed engineers, following the IRS Audit Technique Guide for Cost Segregation (2022 edition) and the AICPA Practice Guide. Typical savings range from 3-8% of total construction/acquisition costs, realized as accelerated deductions in the first 5-7 years of the asset's life.

6. Work Opportunity Tax Credit (WOTC)

The WOTC under IRC Section 51 provides a credit of up to \$2,400-\$9,600 per qualifying new hire from designated target groups (veterans, ex-felons, TANF recipients, SNAP recipients, designated community residents, summer youth employees, and others). Meridian's WOTC practice provides end-to-end administration including: new hire screening and Form 8850 processing (submitted to the State Workforce Agency within 28 days of start date), qualification verification, credit calculation, and IRS audit support. Our technology platform integrates with clients' ATS and HRIS systems (Workday, ADP, UKG) to automate screening at the point of hire, achieving an average certification rate of 15-20% of new hires for retail, hospitality, and distribution clients.

7. IC-DISC / FDII Export Benefits

For companies with qualifying export activities, we evaluate two primary export incentive structures:

- Interest Charge Domestic International Sales Corporation (IC-DISC) -- a tax-advantaged entity that earns commission income on export sales, converting ordinary income to qualified dividend income for individual shareholders. Particularly beneficial for closely held C-corporations and S-corporations with export revenue. Our engagements include IC-DISC formation, commission calculations (the greater of 4% of gross receipts or 50% of combined taxable income from qualified export transactions), and compliance filings (Form 1120-IC-DISC).
- Foreign-Derived Intangible Income (FDII) -- for tax years beginning after December 31, 2025, the FDII deduction rate has decreased from 37.5% to 21.875% under IRC Section 250(a)(3), resulting in an effective tax rate of 16.406% on FDII (vs. 21% corporate rate). For prior tax years the deduction was 37.5% (effective 13.125% rate). We model the FDII benefit, prepare the Form 8993 computation, and assist with documentation of foreign use of services and property.

8. Economic Development Grant Negotiation

Beyond statutory tax credits, Meridian's TCI practice negotiates discretionary economic development incentive packages with state and local authorities for major capital investment and job creation projects. Our negotiation approach includes:

- Comprehensive site selection analysis -- evaluating 3-5 finalist locations based on total cost of operations (labor, utilities, logistics, taxes, incentives) using our proprietary Location Optimizer model.
- Economic impact modeling -- preparation of fiscal and economic impact analyses (IMPLAN or REMI models) demonstrating the net positive fiscal impact of the project on the jurisdiction.
- Incentive term sheet negotiation -- structuring packages that may include cash grants, infrastructure improvements, training funds, property tax abatements, utility rate discounts, and expedited permitting.
- Clawback and compliance management -- negotiation of performance thresholds, grace periods, and proportional clawback provisions; ongoing compliance reporting to maintain incentive eligibility.

In FY2025, the TCI practice negotiated \$340 million in discretionary incentive packages across 48 projects in 22 states, with an average incentive value of 15-25% of total project capital expenditure.